

Fraud Detection in Online Transactions

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- ONLINE TRANSACTIONS ARE RAPIDLY INCREASING WORLDWIDE
- THIS GROWTH HAS LED TO HIGHER FRAUD RISKS
- FRAUD AFFECTS BOTH CUSTOMERS AND BUSINESSES FINANCIALLY

Introduction

What is Fraud?

- Fraud is any unauthorized or illegal transaction
- Happens without the user's permission
- Can involve stolen data or fake identities



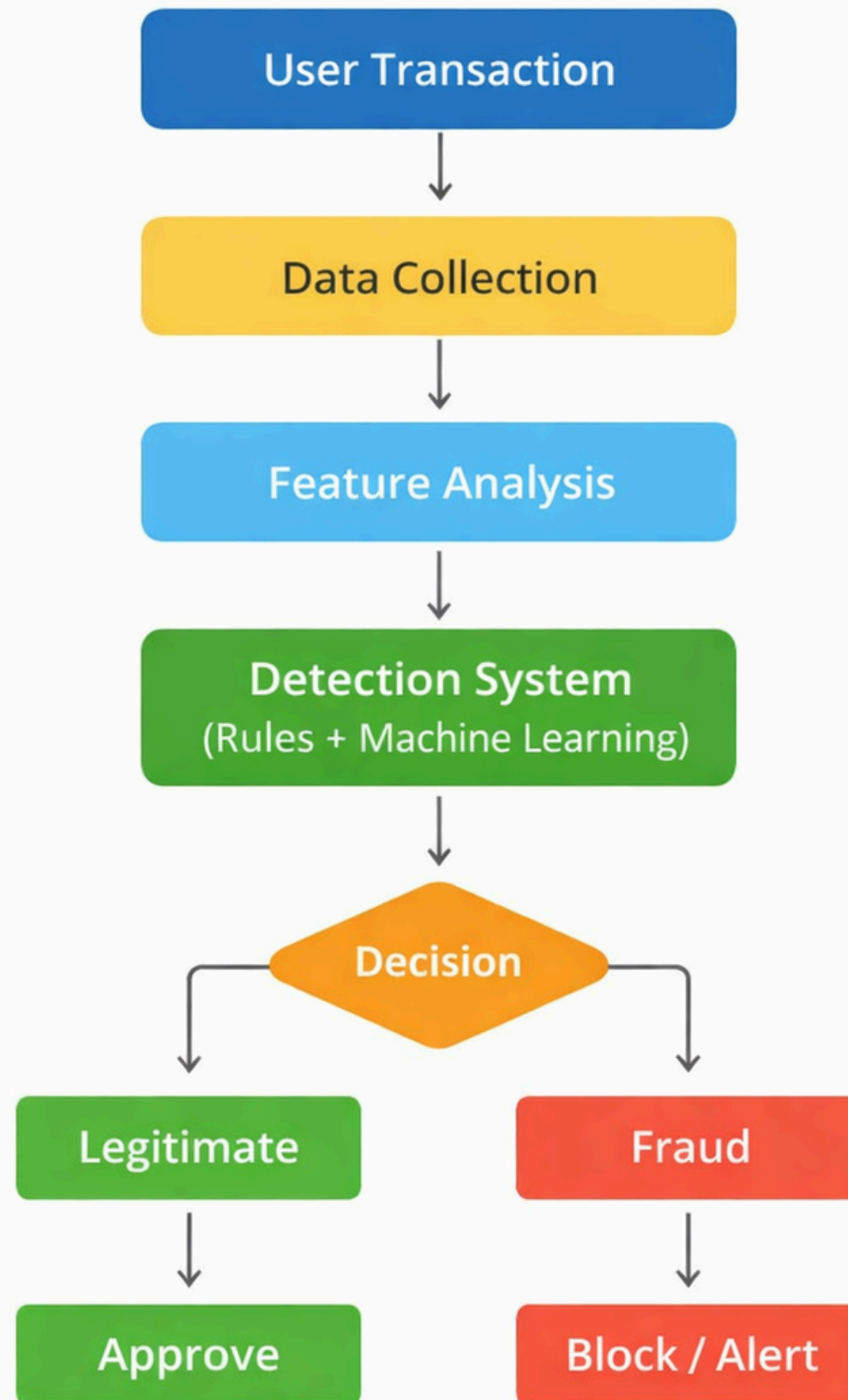
Types of Online Fraud

- Credit card fraud: using stolen card details
- Identity theft: pretending to be someone else
- Phishing: fake emails or websites
- Account takeover: hacking user accounts

How Fraud Happens

- Weak or reused passwords
- Clicking on fake links
- Data breaches and leaks
- Social engineering attacks

Fraud Detection Process



Fraud Detection Methods

- Rule-based systems (fixed conditions)
- Machine Learning models
- Behavioral analysis of users

Machine Learning in Fraud Detection

- Analyzes large amounts of transaction data
- Detects unusual patterns automatically
- Improves accuracy over time

- Unusual large transaction amount
- Login from a new or different location
- Multiple failed login attempts

Example of Fraud Detection

Challenges

- False positives (normal transactions flagged)
- Fraud techniques are always changing
- Privacy and data protection issues



Prevention Methods

- Use strong and unique passwords
- Enable two-factor authentication
- Monitor transactions regularly
- Avoid suspicious emails and links

Conclusion

- Fraud is a growing issue in online transactions
- Detection systems are essential
- Technology helps reduce risks but not eliminate them

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Thank you !!